

complaint

Mr V complains about AXA Insurance UK Plc applying an additional premium on his motor insurance policy.

background

Mr V had a motor insurance policy with AXA. When it became aware of an undisclosed theft claim he had made on a previous policy for a different vehicle it applied an additional premium.

Mr V is unhappy with this as the claim does not relate to the existing AXA policy or the No Claims Discount ("NCD") he is declaring on his current policy. He says he has already been punished for the previous claim by his premium going up. The current policy has no claims on it and the NCD is earned on the vehicle.

AXA says that although the theft claim occurred under a separate policy Mr V held for another vehicle the incident forms part of his claims history and should be disclosed on any application for motor insurance. Mr V's claims history and NCD were viewed separately. He is now paying the right premium reflecting his correct claims history.

Our adjudicator recommended that the complaint should not be upheld. In summary she considered that:

- Mr V was asked a clear question about any motor claims made in the past five years. This was not asked about his NCD and that was dealt with later in the application process on the price comparison web site he had used.
- AXA has shown it asks for a potential policyholder's claims history as part of its underwriting process. It is entitled to exercise its commercial discretion when choosing the factors it takes into account when calculating risk and premiums. It acted reasonably in asking about any claims. AXA has confirmed that the additional premium was automatically calculated and was correct. Any misrepresentation made by Mr V was careless. AXA was therefore entitled to ask for the additional premium.
- NCD is earned by a policyholder and can only be used on one vehicle but it can be transferred to another policy. It is not related to a policyholder's overall claims history. So while a NCD may increase each year the perceived risk may increase leading to an increase in premiums. AXA did not act wrongly in checking the Claims and Underwriting Exchange database for that purpose.

Mr V does not agree. In summary he has reiterated his previous submissions.

my findings

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

Mr V has provided detailed submissions to support his complaint, which I have read and considered individually in their entirety. But my findings are expressed in considerably less detail and focus on what I consider to be the central issues.

Having done so, I agree with the conclusions reached by our adjudicator for broadly the reasons given.

AXA is entitled to decide for itself what questions it asks a policyholder and how it calculates a premium, the factors it takes account of in doing so and the weight it gives to each factor. I am satisfied that in this case it asked Mr V clear and reasonable questions, as it was entitled to do, to ascertain his claims history and later his NCD.

Furthermore, once AXA became aware of the previous theft claim he had made (even though it was for another vehicle on another policy) it was entitled to apply its underwriting criteria to determine if Mr V's premium should increase. It is entitled to take the theft claim into account if it wished to do so.

I am satisfied that in applying its underwriting criteria and asking for an additional premium AXA was legitimately exercising its commercial judgement as it was entitled to do.

In any event, if Mr V considered that the premium quoted by AXA was too high he was free to seek out lower quotations from other motor insurance providers, if he had wished to do so.

Overall, although I recognise Mr V's strength of feeling, I am not persuaded that AXA has done anything wrong. I therefore see no compelling reason to change the proposed outcome in this case.

my final decision

My final decision is that I do not uphold this complaint.

Under the rules of the Financial Ombudsman Service, I am required to ask Mr V to accept or reject my decision before 20 February 2015.

Stephen Cooper
ombudsman